

**KENYA RE**

Kenya Reinsurance Corporation Limited

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDING 31 DECEMBER 2022

	Audited Short term Business 2022 KShs '000	Audited Long term Business 2022 KShs '000	Audited Total 2022 KShs '000	Audited Restated Total 2021 KShs '000
INCOME				
Gross premiums written	22,699,777	2,280,174	24,979,951	20,296,195
Less: change in unearned premiums	(1,451,046)	(143,540)	(1,594,586)	(97,618)
Less: retrocession premiums	(1,142,585)	(97,338)	(1,239,923)	(1,162,210)
NET EARNED PREMIUMS	20,106,146	2,039,296	22,145,442	19,036,367
Investment income-Interest income	2,037,727	927,270	2,964,998	2,762,092
Investment income-Other	667,068	111,628	778,697	895,593
Commissions recovered	224,201	32,850	257,051	136,630
Fair value gains on revaluation of investment properties	(100,985)	8,832	(92,154)	(116,642)
Other income	72,023	-	72,023	58,323
Share of associate profits	551,107	-	551,107	404,714
TOTAL INCOME	23,557,287	3,119,876	26,677,163	23,177,077
CLAIMS AND BENEFITS				
Gross claims incurred and policy holder benefits	(12,807,004)	(1,642,397)	(14,449,402)	(10,875,525)
Less: Re-insurers share of claims and policy holder benefits	505,971	76,992	582,963	230,787
NET CLAIMS AND BENEFITS	(12,301,033)	(1,565,406)	(13,866,439)	(10,644,738)
Cedant acquisition costs	(5,600,794)	(539,666)	(6,140,460)	(5,259,613)
Operating and other expenses	(1,594,737)	(160,190)	(1,754,927)	(2,095,804)
Provision for doubtful debts	(329,029)	-	(329,029)	(909,370)
TOTAL CLAIMS, BENEFITS, AND OTHER EXPENSES	(19,825,593)	(2,265,262)	(22,090,855)	(18,909,525)
PROFIT BEFORE TAX	3,731,694	854,614	4,586,308	4,267,552
INCOME TAX EXPENSE	(825,326)	(143,007)	(968,333)	(1,112,248)
PROFIT FOR THE YEAR	2,906,368	711,607	3,617,975	3,155,304
OTHER COMPREHENSIVE INCOME				
Items that will not be reclassified subsequently to profit or loss:				
Share of gain on property revaluation of associate	4,705	-	4,705	8,524
Remeasurement gains/ (losses) on defined benefit plans, net of tax	41,099	-	41,099	26,509
Items that may be reclassified subsequently to profit or loss:				
Reclassification adjustment relating to available-for-sale financial assets disposed in the year	-	-	-	-
Net gains / (losses) on revaluation of available-for-sale quoted equity instruments	(48,392)	-	(48,392)	60,828
Net gains on revaluation of available-for-sale government securities	(78,205)	-	(78,205)	(4,549)
Translation reserve	(77,884)	-	(77,884)	50,241
Share of movement in associate reserves:				
– currency translation	603,350	-	603,350	81,219
– fair value reserve	(106,452)	-	(106,452)	11,026
TOTAL OTHER COMPREHENSIVE INCOME	338,221	-	338,221	233,798
TOTAL COMPREHENSIVE INCOME	3,244,589	711,607	3,956,196	3,389,102
EARNINGS PER SHARE - basic and diluted			1.29	1.13
Key Ratios				
Capital Adequacy Ratio			875%	875%
Solvency Ratio			731%	759%
Claims Ratio			63%	56%
Expense Ratio			8%	11%

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2022

	Audited Short term Business 2022 KShs '000	Audited Long term Business 2022 KShs '000	Audited Total 2022 KShs '000	Audited Restated Total 2021 KShs '000	Audited Restated Total 1.1.2021 KShs '000
EQUITY					
Share capital	6,499,491	500,000	6,999,491	6,999,491	6,999,491
Revaluation reserve	33,697	-	33,697	28,992	20,468
Fair value reserve	(645,952)	(80,061)	(726,012)	(492,965)	(560,270)
Translation reserve	1,347,425	-	1,347,425	821,958	690,498
Statutory reserve	-	8,145,000	8,145,000	7,433,393	6,237,682
Retained earnings	24,972,103	-	24,972,103	22,304,615	20,878,472
TOTAL EQUITY	32,206,764	8,564,939	40,771,703	37,095,484	34,266,341
ASSETS					
Property and equipment	93,426	-	93,426	68,256	92,729
Intangible assets	21,912	35,751	57,663	112,803	297,764
Investment properties	10,649,225	1,755,775	12,405,000	12,250,000	12,175,000
Investment in associate	7,823,043	-	7,823,043	6,770,334	5,761,432
Unquoted equity instruments	201,623	-	201,623	194,248	209,674
Mortgage loans	750,213	-	750,213	790,455	776,835
Corporate bonds-held to maturity	45,329	-	45,329	45,329	-
Receivables arising out of reinsurance and retrocession arrangements	1,584,575	557,698	2,142,273	2,065,570	7,347,292

Receivables arising out of reinsurance and retrocession arrangements-Pipeline	7,968,485	448,546	8,417,031	-	153,294
Premiums retained by cedants	424,861	-	424,861	418,173	737,689
Deferred acquisition costs	1,301,433	138,300	1,439,733	979,601	493,185
Other receivables	437,655	82,222	519,877	570,299	1,186,121
Quoted equity instruments	976,193	177,878	1,154,071	1,202,463	17,258,062
Government securities	13,353,705	6,579,364	19,933,069	18,551,024	18,505
Inventory	20,345	-	20,345	-	8,306,552
Deposits with financial institutions	8,171,395	4,186,346	12,357,741	10,566,834	2,453,326
Cash and bank balances	822,315	66,000	888,315	1,029,913	-
Deferred tax asset	1,452,394	-	1,452,394	-	-
TOTAL ASSETS	56,098,127	14,027,880	70,126,007	55,633,807	57,263,220
LIABILITIES					
Long term reinsurance contract liabilities	-	1,309,997	1,309,997	1,262,731	2,721,542
Short term reinsurance contracts liabilities	10,273,510	-	10,273,510	9,915,675	9,340,902
Payables arising out of reinsurance arrangements	1,542,391	175,805	1,718,197	1,306,359	5,815,974
Payables arising out of reinsurance arrangements-Pipeline	6,602,888	341,315	6,944,203	-	-
Deferred tax liability	-	3,160,311	3,160,311	1,568,916	1,281,527
Retirement benefits obligation	19,578	-	19,578	49,000	175,911
Income tax payable	39,276	-	39,276	84,980	99,965
Other payables	626,306	-	626,306	682,305	709,728
Unearned premiums	4,787,417	475,510	5,262,927	3,668,357	2,851,330
TOTAL LIABILITIES	23,891,365	5,462,939	29,354,304	18,538,324	22,996,878
NET ASSETS	32,206,762	8,564,941	40,771,703	37,095,484	34,266,341

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD ENDED 31 DECEMBER 2022

	Share capital KShs '000	Revaluation reserve KShs '000	Fair value reserve KShs '000	Translation reserve KShs '000	Statutory reserve KShs '000	Retained earnings KShs '000	Total KShs '000
At 31 December 2020 - as previously reported	6,999,491	20,468	(560,270)	690,498	6,387,470	20,859,668	34,397,325
Prior year adjustments	-	-	-	-	(149,788)	18,804	(130,984)
At 31 December 2020-restated	6,999,491	20,468	(560,270)	690,498	6,237,682	20,878,472	34,266,341
At 1 January 2021-Restated	6,999,491	20,468	(560,270)	690,498	6,237,682	20,878,472	34,266,341
Profit for the year	-	-	-	-	1,195,711	1,959,593	3,155,304
Other comprehensive income (loss)/income	-	8,524	67,305	131,460	-	26,509	233,798
Total comprehensive income	-	8,524	67,305	131,460	1,195,711	1,986,102	3,389,102
Dividends declared – 2021	-	-	-	-	-	(559,959)	(559,959)
At 31 December 2021-Restated	6,999,491	28,992	(492,965)	821,958	7,433,393	22,304,615	37,095,484
At 31 December 2021 - as previously reported	6,999,491	28,992	(492,965)	821,958	7,625,237	22,056,816	37,039,529
Prior year adjustments	-	-	-	-	(191,844)	247,799	55,955
At 31 December 2021- as restated	6,999,491	28,992	(492,965)	821,958	7,433,393	22,304,615	37,095,484
At 1 January 2022 as restated	6,999,491	28,992	(492,965)	821,958	7,433,393	22,304,615	37,095,484
Profit for the year	-	-	-	-	711,607	2,906,368	3,617,975
Other comprehensive income (loss)/income	-	4,705	(233,048)	525,467	-	41,099	338,222
Total comprehensive income	-	4,705	(233,048)	525,467	711,607	2,947,467	3,956,197
Dividends declared - 2021	-	-	-	-	-	(279,979)	(279,979)
At 31 DECEMBER 2022	6,999,491	33,697	-726,613	1,347,425	8,145,000	24,972,103	40,771,703

CONSOLIDATED STATEMENT OF CASHFLOWS FOR THE PERIOD ENDED 31 DECEMBER 2022

	Audited 2022 KShs '000	Audited 2021 KShs '000
Net cash generated from operations	1,521,145	1,437,956
Interest received on corporate bonds	5,884	2,866
Interest received on government securities	2,202,932	2,121,114
Interest received on staff mortgages and loans	27,435	28,169
Interest received on deposits with financial institutions	498,887	484,218
Interest received on commercial mortgages	26,842	25,497
Tax paid in the year	(774,507)	(819,074)
Net cash generated from operating activities	3,508,619	3,280,746
Cash flows from investing activities		
Purchase of investment property	(247,154)	(191,642)
Purchase of property and equipment	(60,523)	(4,566)
Purchase of quoted equity instruments	-	(19,249)
Purchase of intangible assets	(47,128)	(4,043)
Purchase of government securities	(3,424,759)	(2,381,065)
Purchase of corporate bonds	-	(45,200)
Proceeds on maturity of government securities	2,202,932	1,118,234
Proceeds on sale of quoted equity instruments	-	63,735
Investment in associate	-	(503,419)
Deposit on offshore investment	-	(114,938)
Dividends received on quoted equity instruments	112,241	83,297
Net cash generated from/ (used in) investing activities	(1,464,391)	(1,998,856)
Cash flows used in financing activities		
Dividends paid	(279,979)	(559,959)
Net increase/ (decrease) in cash and cash equivalents	1,764,249	721,931
Cash and cash equivalents at 1 January	11,481,809	10,759,878
Cash and cash equivalent at 31 December	13,246,057	11,481,809

The Audited financial statements were approved by the Board of Directors on 27th March 2023 and were signed on its behalf by:

Michael Mbeshi
Principal Officer**Dr. Hon. Catherine Ngima Kimura**
Chairman**David Muthusi**
Director**PERFORMANCE COMMENTARY****FINANCIAL HIGHLIGHTS**

Gross written premiums grew by 23% from KShs 20.30 billion in the year 2021 to KShs 24.98 billion in 2022. Net earned premium increased by 16% from KShs 19.04 billion in 2021 to KShs 22.15 billion in 2022.

Investment income increased by 2% from KShs 3.66 billion in 2021 to KShs 3.74 billion in 2022, due to the effects of full containment of Covid-19 pandemic on the investment environment.

Claims incurred in year 2022 increased by 30% to KShs 13.87 billion from KShs 10.64 billion in 2021.

Cedant acquisition costs increased by 17% from KShs 5.26 billion in 2021 to KShs 6.14 billion in 2022.

Operating expenses decreased by 16% from KShs 2.10 billion as at 31 December 2021 to KShs 1.75 billion as at 31st December 2022.

Profit before tax for the year 2022 stood at KShs 4.59 billion, an increase of 7% from the profit before tax of KShs 4.27 billion in 2021.

The asset base increased from KShs 55.63 billion in 2021 to KShs 70.13 billion in 2022, a growth of 26%.

The Shareholders funds increased from KShs 37.10 billion in 2021 to KShs 40.77 billion in 2022, a growth of 10%.

DIVIDENDS

The Board of Directors recommend a payment of Kes 0.20 dividend per share

AUDIT OPINION

The Auditor General carried out the audit of the Corporation's books as at 31st December 2022 and gave an unqualified opinion signed on 27th March 2023

KEY AUDIT MATTER

Determination of reinsurance contract liabilities

By Order of the Board**Charles Kariuki**
Company Secretary

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Kenya Reinsurance



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